CHAPTER 2

THEORY BASE OF ACCOUNTING

CHAPTER ESSENCE AT A GLANCE:
Accounting theory establishes uniform measurement standards through fundamental concepts, Generally Accepted Accounting Principles (GAAP), accrual timing rules, and unified Goods and Services Tax (GST) accounting mechanisms.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Business Entity Separation:** The business enterprise is legally and conceptually treated as an independent distinct unit separated completely from its proprietor, necessitating that capital be recorded as an internal liability owed by the enterprise to the owner.

• **Going Concern and Periodicity Postulates:** Enterprises are assumed to operate indefinitely into the foreseeable future without intent of liquidation, requiring operational life to be divided into arbitrary annual segments (accounting periods) for periodic performance evaluation.

• **Accrual Accounting and Revenue Recognition:** Revenues are recognized when legally earned and expenses are recognized when obligations are incurred, irrespective of whether cash has actually been received or disbursed.

• **Prudence and Conservatism Invariant:** Anticipate no future profits, but provide for all foreseeable prospective losses, dictating that closing inventory be valued strictly at cost price or net realizable value, whichever is lower.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Prudence Inventory Valuation} = \min(\text{Historical Cost Price},\ \text{Net Realizable Value})$$
Conservatism Principle Inventory Rule

$$\text{Accrual Net Income} = (\text{Cash Sales} + \text{Credit Sales}) - (\text{Cash Expenses} + \text{Outstanding Expenses})$$
Accrual Timing Principle Formula

$$\text{Dual Aspect Invariant} = \text{Total Assets} \equiv \text{Total Equities} = \text{Liabilities} + \text{Capital}$$
Fundamental Balance Sheet Identity

$$\text{Net GST Payable} = \text{Output GST Collected} - \text{Input Tax Credit (ITC) Available}$$
Statutory Goods and Services Tax Net Settlement

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Never confuse the Cash Basis of accounting with the Accrual Basis; the Companies Act 2013 strictly mandates the Accrual Basis for all corporate entities.

• **Alert:** Under the Money Measurement concept, transactions that cannot be quantified in terms of currency are entirely excluded from the ledger, regardless of their operational impact.

• **Alert:** Goods and Services Tax (GST) paid on purchases (Input GST) is an asset (receivable), while GST collected on sales (Output GST) is a current liability.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State the Business Entity concept. Why is capital treated as a liability in the balance sheet? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Concept Statement:** The business enterprise is viewed as a separate and distinct economic unit apart from its owners, partners, or shareholders. **[1 Mark]**

• **Capital as Liability:** The money invested by the proprietor into the enterprise represents an internal claim or debt that the business entity owes back to the owner upon termination. **[1 Mark]**

2. Explain the Money Measurement concept along with one major practical limitation. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Concept Principle:** Only transactions and events that are capable of being expressed in terms of money are recorded in books of account. **[1 Mark]**

• **Major Limitation:** Crucial business determinants like labor strike duration, brand goodwill, and leadership competence cannot be quantified in rupees, leading to incomplete qualitative evaluation. **[1 Mark]**

3. Explain the Going Concern concept and describe its direct impact on the valuation of fixed assets in the balance sheet. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Going Concern Postulate:** The enterprise will continue its business operations for an indefinite period into the foreseeable future and has neither the intention nor the necessity of liquidation. **[1.5 Marks]**

• **Impact on Asset Valuation:** Fixed assets are shown in the balance sheet at historical acquisition cost less accumulated depreciation over useful life, rather than at current forced liquidation or net scrap breakup value. **[1.5 Marks]**

4. Distinguish between the Accrual Basis and Cash Basis of accounting with three clear points of comparison. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Timing of Recognition:** Cash basis records income and expenses strictly when cash is physically received or paid; accrual basis records them when legally earned or incurred regardless of cash flow timing. **[1 Mark]**

• **Prepaid and Outstanding Items:** Cash basis completely ignores prepaid, accrued, and outstanding items; accrual basis explicitly incorporates them to determine true periodic profit. **[1 Mark]**

• **Legal Recognition:** Accrual basis is officially recognized and required under the Companies Act 2013, whereas the cash basis is not accepted for corporate financial statements. **[1 Mark]**

5. Explain the Prudence (Conservatism) concept. Cite two specific accounting practices influenced by it. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Core Rule:** Anticipate no future profits, but provide for all foreseeable prospective losses, ensuring assets and revenues are never overstated. **[1 Mark]**

• **Inventory Practice:** Valuing closing stock at historical cost price or net realizable value, whichever is lower. **[1 Mark]**

• **Receivables Practice:** Creating a provision for doubtful debts against book debts to absorb potential customer payment defaults. **[1 Mark]**

6. Explain the Dual Aspect concept and demonstrate how it forms the foundational basis of the fundamental accounting equation. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Dual Aspect Principle:** Every commercial transaction exerts a dual simultaneous effect, involving a debit of equal amount for every credit across ledger accounts. **[1 Mark]**

• **Mathematical Expression:** Stated as Total Assets = Total Equities, where equities represent external claims (Liabilities) plus owner claims (Capital). **[1 Mark]**

• **Equational Balance:** Any increase in an asset must be financed by an equivalent increase in liability, increase in capital, or reduction in another asset, preserving the equation Assets = Liabilities + Capital. **[1 Mark]**

7. Explain the structure of Goods and Services Tax (GST) in India, detailing CGST, SGST, IGST, and the mechanism of Input Tax Credit (ITC). [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Intra-State GST:** For transactions within the same state, GST is bifurcated equally into Central GST (CGST) collected by the central government and State GST (SGST) collected by the state government. **[1 Mark]**

• **Inter-State GST:** For transactions between two different states, Integrated GST (IGST) is levied and collected by the center and shared with the destination state. **[1 Mark]**

• **Input Tax Credit (ITC):** A registered taxpayer can offset GST paid on business purchases (Input GST) against GST collected on sales (Output GST), preventing the cascading tax-on-tax effect. **[1 Mark]**

• **Statutory Remittance:** The business remits only Net GST Payable = Output GST Collected minus Available Input Tax Credit to the government treasury. **[1 Mark]**